

Finding Trades for the ETF Premium Strategy

Finding trades is really simple. Built into the Predicting Alpha terminal is a scan called the ETF Premium Strategy scan.

This searches all ETFs and presents you with the ones that have the following characteristics:

1. A positive variance risk premium.
2. A profitable option selling backtest.
3. An IV percentile lower than 95.

We care about these three metrics because they say the following about an ETF:

1. Implied volatility is higher than realized volatility on average (VRP).
2. We can actually monetize this effect (backtest).
3. Our variance will be more controlled right now (percentile).

These three characteristics are the core of what we look for when running this strategy. All ETFs that meet this criteria are fair game.

Open the scanner, immediately see a list of the top trades.

ETF PREMIUM SCAN - VOLATILITY SCANNER								
Last Updated: Friday, September 06, 03:00 PM EDT								
ETF Premium Scan New Scanner Save Search Ticker Filters: (5) 7 Columns 20 1 of 1								
Ticker 16 MATCHES 16 SELECTED	Price	Price Chng 1d	Avg Option Volume	VRP Backtest Avg Return	VRP Backtest Max Loss	VRP Backtest Win Rate	VRP Report	
XLF	\$44.22	-1.62%	148.43k	6.34%	-62.74%	63.77%	Open Analysis	
XLV	\$153.88	-0.39%	14.26k	5.04%	-119.54%	66.01%	Open Analysis	
XLP	\$83.12	-0.05%	21.52k	4.94%	-106.08%	63.55%	Open Analysis	
USO	\$68.69	-1.72%	39.54k	4.51%	-162.74%	69.95%	Open Analysis	
EWZ	\$29.34	-2.04%	114.56k	4.25%	-54.76%	57.00%	Open Analysis	
ASHR	\$22.88	-1.25%	5.91k	3.93%	-129.94%	61.56%	Open Analysis	
JETS	\$18.59	-0.85%	14.14k	3.60%	-76.35%	56.57%	Open Analysis	
GLD	\$230.44	-0.82%	156.56k	2.92%	-83.37%	57.97%	Open Analysis	
EWV	\$51.28	-1.40%	7.38k	2.09%	-249.27%	61.36%	Open Analysis	
UNG	\$14.34	1.13%	27.57k	1.78%	-75.47%	59.09%	Open Analysis	
XLV	\$183.40	-1.99%	10.01k	1.74%	-136.56%	56.65%	Open Analysis	
XOP	\$128.81	-1.89%	11.85k	1.70%	-145.88%	62.88%	Open Analysis	

List of ETFs With High VRP

- Recommended to start with 2-3 ETFs
- Make sure they are each representing different sectors and regions

All tickers on this scan will meet the core criteria for being a good trade. Empirically, you could trade all of them (this would actually give you the smoothest PnL).

But in reality, we do not have the time or resources to be managing so many trades at any given time.

Note: Something extremely important to remember is that fundamentally in this strategy we do not differentiate between which ETFs have a “better variance risk premium”. Our entire approach is based on trying to identify which world an ETF belongs to. The first world is the one where the ETF has a risk premium we can monetize. The second world is one where the ETF does not have a risk premium we can monetize. You can customize the scanner and do your own ranking/analysis, but that is outside of the scope of what the core of this strategy is.

How do we pick which ETFs to trade?

So if our goal is to pick the ETFs that can offer us the best performance for our limited account size and management capabilities, *how do we pick?*

We focus on 2 variables to help us make our decision.

1. Diversification
2. Liquidity

The reason we focus on these two is because they help us control factors that surround the risk premium, allowing us to get a cleaner exposure to it and therefore a smoother PnL.

We fundamentally try not to introduce things that “time” the risk premium or try to say one ETFs premium is better than the other (these nuances would be in the world of “alpha”, and therefore are subject to decay/change over time, so we leave it to individual traders to discover these for themselves while we focus on providing the universal/timeless principles).

Two things that we know are not going anywhere:

1. Having diversified trades allows us to have a smoother PnL, reducing our drawdowns.
2. Trading more liquid ETFs helps reduce costs, improving our overall return.

When we can only trade a limited number of ETFs, we optimize for these two things.

Variable 1: Diversification

The first variable is diversification. Diversification is a well-understood way to improve your returns. It's what people are talking about when they say stuff like “*Don't put all your eggs in one basket*”.

The idea is simple. The more different ETFs you can trade which all have a positive variance risk premium the better.

The key word in the above sentence? ***Different.***

Imagine you are looking at the following list of ETFs and picking the ones you want to add to your portfolio.

☒	Ticker 15 MATCHES 15 SELECTED	
☒	URA ↗	Global X Uranium ETF
☒	BITO ↗	ProShares Bitcoin Strategy ETF
☒	KWEB ↗	KraneShares CSI China Internet ETF
☒	ASHR ↗	Xtrackers Harvest CSI 300 China A-Shares ETF
☒	FXI ↗	iShares China Large-Cap ETF
☒	SILJ ↗	Amplify Junior Silver Miners ETF
☒	EWZ ↗	iShares MSCI Brazil ETF

You went through this course, so you know diversification is important. You decide to trade 3 ETFs.

Scenario #1.

In scenario #1, you pick KWEB, ASHR, and FXI. Let's say they were all on the list, and they are all separate ETFs... right?

Well if you take a closer look, you'll notice that they are all ETFs that are focused on the Chinese economy. And if you put them into our correlation matrix, you'll see..



You'll find that they are all extremely correlated with one another! *What looked like 3 separate trades was actually much closer to one giant trade.* Attempt at diversification **failed**.

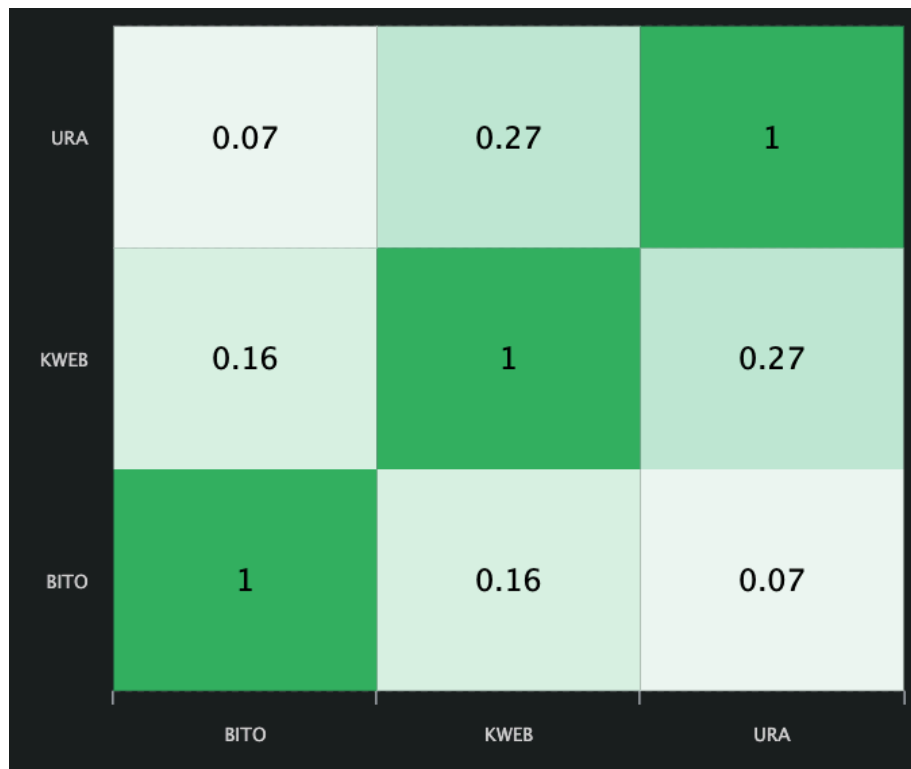
Let's check out scenario #2.

Scenario #2.

This time we are going to pick a different set of ETFs from the same list. Let's say we pick KWEB, URA, and BITO.

One is focused on the Chinese economy, another on uranium, and the third on Bitcoin.

And if we put them in the correlation matrix...



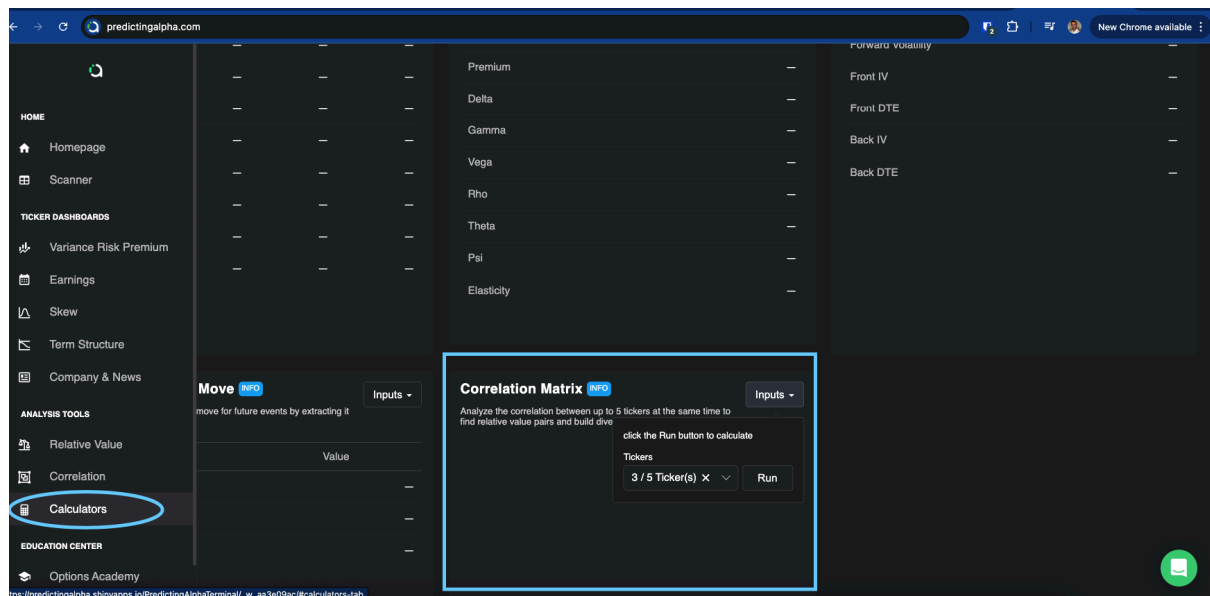
A very different picture! Each of our selected ETFs shows very little correlation to one another. Meaning that if we placed these 3 trades, we would be trading ETFs that each have a positive variance risk premium and very little to do with one another. Just because one experiences higher realized volatility, it doesn't mean the others have to as well.

Diversification, **successful**.

We test for diversification by using a correlation matrix

Once we have selected the ETFs we want to trade, We plug them into the correlation matrix, a tool in the PA terminal that shows you the correlation between the ETFs you've picked.

Here is where you can find the correlation matrix:



Go to the Calculators page, pick your tickers in the inputs dropdown and click “run”.

The output will look something like this:



We are checking to make sure they are not the “same thing under different tickers”. Doing this will help improve our PnL, without us needing to try to be wizards and predict the future.

Variable 2: Liquidity

If you have to choose between two ETFs that are good candidates, and one is very liquid while the other is completely illiquid, you should pick the liquid one.

The reason? *You need to be able to get in and out of your trades.*

Trading in illiquid markets can pose a lot of challenges that we want to avoid if there's no benefit to being there. So if you have too many ETFs to pick from, an easy way to narrow down the list further is to increase your liquidity threshold in your scan.

Liquidity Example

Using the list from our previous example, let's see what we mean by liquidity in real time. In this screenshot, I have taken the same list but added a column for average option volume as a proxy for liquidity.

 Ticker 15 MATCHES 15 SELECTED	Price ?	Avg Option Volume
 BITO  ProShares Bitcoin ...	\$21.82	115.77k
 KWEB  KraneShares CSI ...	\$27.27	52.04k
 FXI  iShares China Larg...	\$26.36	96.08k
 ASHR  Xtrackers Harvest ...	\$23.69	6.98k
 URA  Global X Uranium	\$28.88	21.71k

Let's say we decided that we wanted some exposure to China and we were deciding between FXI and ASHR.

Both have a positive VRP and are roughly the same size of trade (both around \$25 underlying price). But if we look at the option volume, we can see that FXI has almost 15x the volume.

Intuitively we will be inclined to trade FXI, but just to show you the difference lets pull up the trade for both of them.

Weekly short strangle on ASHR

	ACTN	RT	LST TRD DAY	STRIKE	TYPE	THETA	BID/ASK	SIZE	
✖ Leg 1	Sell	1 JUL 12 '24	23	Put	-0.008	0.03x0.07	1,155x2,268		Consolidate...
✖ Leg 2	Sell	1 JUL 12 '24	24.5	Call	-0.007	0.02x0.05	5,046x1,798		Consolidate...
Jul12 23/24.5 Short Strangle						0.015	-0.12x-0.05	1,798x1,155	

Clear All Legs

+ PROFILE

+ Add to Watchlists

-0.12

-0.05

BID MID ASK

As you can see, the spread is 0.05 - 0.12 for the strangle. **The bid/ask spread is 58% of the highest premium we could receive!**

Let's compare this to FXI.

Weekly short strangle on FXI

	ACTN	RT	LST TRD DAY	STRIKE	TYPE	THETA	BID/ASK	SIZE	
✖ Leg 1	Sell	▼	1 JUL 12 '24	▼ 25.5	▼ Put	-0.012	0.08 x 0.10	818 x 3,537	Consolidate...
✖ Leg 2	Sell	▼	1 JUL 12 '24	▼ 27.5	▼ Call	-0.012	0.06 x 0.08	2,124 x 189	Consolidate...
Jul12 25.5/27.5 Short Strangle						0.024	-0.18 x -0.14	189 x 818	

Clear All Legs

+ PROFILE

+ Add to Watchlists

-0.18

-0.14

BID

MID

ASK

As you can see, the spread is 0.14 - 0.18 for the strangle. The **bid/ask spread is 22% of the highest premium we could receive.**

A significant improvement over the spread we would pay for ASHR!

Just by picking to trade the more liquid ETF we have significantly improved our chances of making money.

And that is how you find trades!

We continue to find ETFs with ideal conditions to be added to our portfolio until we have an acceptable number of trades on and are utilizing our margin appropriately.

As we take off positions and our capital becomes available, we rotate into new trades.

I know you are probably thinking *“That’s it? How can that be all we need to do in order to do something so profitable?”*

It's because the hard work was done before you ever looked at the list!

The hard work is understanding the risk premium, finding the meaningful variables that help us find the optimal trades to take, and realizing that all we are trying to do is put together a basic model that helps us build out our basket. We are already leaning heavily into the existence of the risk premium, and just optimizing our ability to extract it.

That's why it's so simple. The hard work has already been done, and it's what's presented to you in this course and made tradable with our tool.

Now that we have covered how to find the trades, let's talk about the actual trade we are going to place to make some money.